

Brazil outlook turns positive on Bolsonaro's rise

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Daily Brief

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summary

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EG is upgrading Brazil's short-term trajectory from neutral to positive on the rising likelihood of stronger fiscal reform in 2027 under election favorite Flavio Bolsonaro.

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Crises will engulf France this week, with potential implications for the presidential campaign and intensifying market pressure on the country's public finances.

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EG sees a 70% probability (down from 75%) that Spain's center-right opposition will lead the next government after the prime minister called a snap election.

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Ian Bremmer assesses the geopolitical fallout of AI expenditure, Israel, Brazil's elections, and the converging risks to global growth.

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Countries and sectors in this edition of the Daily Brief include the US, ASEAN, Brazil, France, India, Spain, and trade.

the top line

Brazil—Short-term trajectory turns positive with Bolsonaro now the favorite

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President Luiz Inacio Lula da Silva is projected to tally 45% of votes in the first round, two points behind Flavio Bolsonaro with 92% of votes counted. That difference translates into a three- to four-point Bolsonaro lead in a runoff, considering the profile of voters from alternative candidates.

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Two of the three election-forecasting models EG uses now strongly favor Bolsonaro, lifting his runoff win odds to 70% from 45%.

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EG is upgrading Brazil's short-term trajectory from neutral to positive on the rising likelihood of a stronger fiscal reform in 2027 under Bolsonaro and a more conservative congress.

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The Brazilian real is up 4.5% and the iShares MSCI Brazil ETF is up almost 13% in US pre-market trading, while 10-year local currency bond yields and 10-year dollar bond yields are down about 84 basis points and 20 basis points, respectively.

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Read more here . Reach out to discuss: brazil@eurasiagroup.net .

France—Election campaign will be buffeted by multiple crises this week

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A series of crises will engulf France this week, with potential implications for the presidential campaign and intensifying market pressure on the country's fragile public finances. EG continues to assign a 40% probability to the 2027 budget passing and a 40% probability to the centrist former prime minister Edouard Philippe winning the 2 May run-off.

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Several days of high-school protests will converge on Tuesday, 6 October with nationwide marches by state employees against budget cuts, potentially producing violent scenes across major French cities.

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Presidential front-runner Marine Le Pen will provide further detail on her fiscal agenda (see note , 2 October) while confronting allegations of antisemitism against her number two, Jordan Bardella. The controversy comes as her most likely centrist rival, Philippe, is slowly recovering from a run of weak opinion polls.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

Goeconomics, France—Chart of the day

Spain—Snap election likely to yield center-right government

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Prime Minister Pedro Sanchez called a snap election for 29 November after parliament rejected a housing decree the government had tabled after weeks of protests over housing, a tactical move to give the center-left its best shot at keeping power.

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EG sees a 70% probability (down from 75%) that the center-right opposition will win a majority and lead the next government, given the conservatives' solid polling lead, Sanchez's weak approval ratings and the unfavorable environment for incumbents.

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The left still has a path to a majority: making housing the central issue could mobilize left-leaning voters and lead to some consolidation in the heavily fragmented left, while an earlier vote limits scope for a further erosion in support amid resurgent inflation, legislative deadlock, and ongoing corruption scandals.

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Read more here . Reach out to discuss: europa@eurasiagroup.net .

EG Update—Ian Bremmer on AI, Brazil, Israel, and the global economy

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AI is the biggest capital expenditure in history, but the lack of alignment and governance around it... combined with high energy prices, structurally higher tariffs, rising debt costs, and deficit spending... are creating serious risks to growth. Top sovereign investors expect a major market correction, though the long-term perspective for those that can manage the uncertainty should remain bullish.

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Three years after October 7, Gaza remains stuck in phase one. Our baseline is that Benjamin Netanyahu is ousted and former Israel Defense Forces chief of staff Gadi Eisenkot forms a center coalition... a reprieve to the sharply downward trajectory of Israeli relations with the West, but not enough to turn present trends around.

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Brazil's Flavio Bolsonaro enters the second round as the clear favorite. A win would be market friendly, but mean an immediate security pivot toward the US, a climate turnaround, and a key risk of organized crime capture.

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For more of Ian's insights on politics and the global economy, read this week's EG Update .

ASEAN—Region is struggling to reduce export dependency on US

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Despite efforts to diversify, ASEAN has struggled to reduce reliance on the US export market. The share of goods exports to the US edged up to 17.9% in the second quarter, driven by tech-related exports tied to the AI boom that Washington has largely exempted from additional tariffs.

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Vietnam and Thailand face the biggest risks from prolonged US trade negotiations. Vietnam—the world's largest US trade surplus holder, with US exports at about 26% of GDP—resists Washington's demands on China ties. Thailand, under greater pressure amid weak growth, appears closer to a deal but will defend redlines on agricultural market access.

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Southeast Asian nations are pushing trade diversification through EU free trade deals and Comprehensive and Progressive Agreement for Trans-Pacific Partnership accession, but ASEAN will struggle to reduce US market dependence, and growing reliance on Chinese imports keeps the region at the center of US-China tensions.

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Read more here . Reach out to discuss: southeastasia@eurasiagroup.net .

upcoming conference calls

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5 October 8:00 AM ET—Brazil update (In English). Register here .

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5 October 9:30 AM ET—Brazil update (In Portuguese). Register here .

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5 October 11:00 AM ET—France update. Register here .

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7 October 10:00 AM ET—Mexico update. Register here .

eg in brief

India—Geopolitics will drive acceptance of India’s bilateral investment treaty template: After finding few takers for its previous bilateral investment treaty (BIT) template, India’s cabinet will approve a new version in the next few weeks in the hopes of reversing declines in net FDI flows and the value of the rupee. The revised version is the basis of the BITs being negotiated in conjunction with free trade agreements (FTAs) with the EU and Canada, and is expected to serve as the template for similar agreements with the UK, Australia, and Switzerland. Though the new BIT still falls short of international standards, geopolitical considerations and investment guarantees embedded within the parallel FTAs will induce major economies to accept India’s template. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Upcoming events:

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5 October: Data: Eurozone PPI.

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6 October: Data: US trade.

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7 October: Data: China foreign reserves; Central bank decisions: Peru and Poland.

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8 October: Data: Japan current account balance, Taiwan trade; Central bank decisions: Romania and Uruguay.

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9 October: Data: Brazil and Russia CPI, and US UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“I am very happy with the vote of confidence. That’s almost 56 million Brazilians. I couldn’t be more pleased to see that Brazil wants change.”—Bolsonaro said as Brazil's elections results were tallied on 4 October.

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